

Action Plan: If you decide to cut down money on eating out and save more, start by cooking at home for one meal this Sunday. Then a few months later, slowly proceed to eating at home for the whole day. If a Sunday meal costs you 200, you'd be saving 800 every month by making this small change. A few months later, you'd cook for the entire day and cut expenses by 300 wherein you're saving 1200 monthly. This slow habit ingrains itself into your schedule and you'll always have one weekend day's meal at home.

Work in increments

Month 1: 1 meal per Sunday at home – saves 800 pm – 9600 PY (rough)

Month 4: 2 meals per weekend at home – saves 1200 pm – 14,400 PY

Month 6: 1 meal of weekday packed from home – saves 300 pm

Month 12: cook a big meal on Sunday that can be re-heated to work on Monday – cumulative savings 1500 pm, 18,000 PY with small habit changes.

Depending on your interests, this small change in habit (9600 PY) can mean you've saved for new Diwali clothes and multiple boxes of sweets or it can mean you've invested for a 65k big-ass vacation (10% returns), 20 years later.

When you put it in perspective, eating one meal every Sunday this year, has contributed to an entire vacation plan. As we try to cut down spending and improve our savings, we also have to balance our emotions with saving. While you may believe, saving is just putting money in the bank's RD or FD for a short duration, we need to annotate the reason for saving. Here are a couple of pointers on why reasons for saving are highly important.

Be smart with saving

Tip #1: Always save toward a goal

I have two friends - Nanda and Swami who graduated with me, joined IT companies on same salaries and had similar expenses. Three years down the line, one of them has saved enough for a 30% downpayment toward a piece of land while the other, spent his savings on a trek in Uttarakhand. In fact, both were on the trek in Uttarakhand when Swami posed the question on